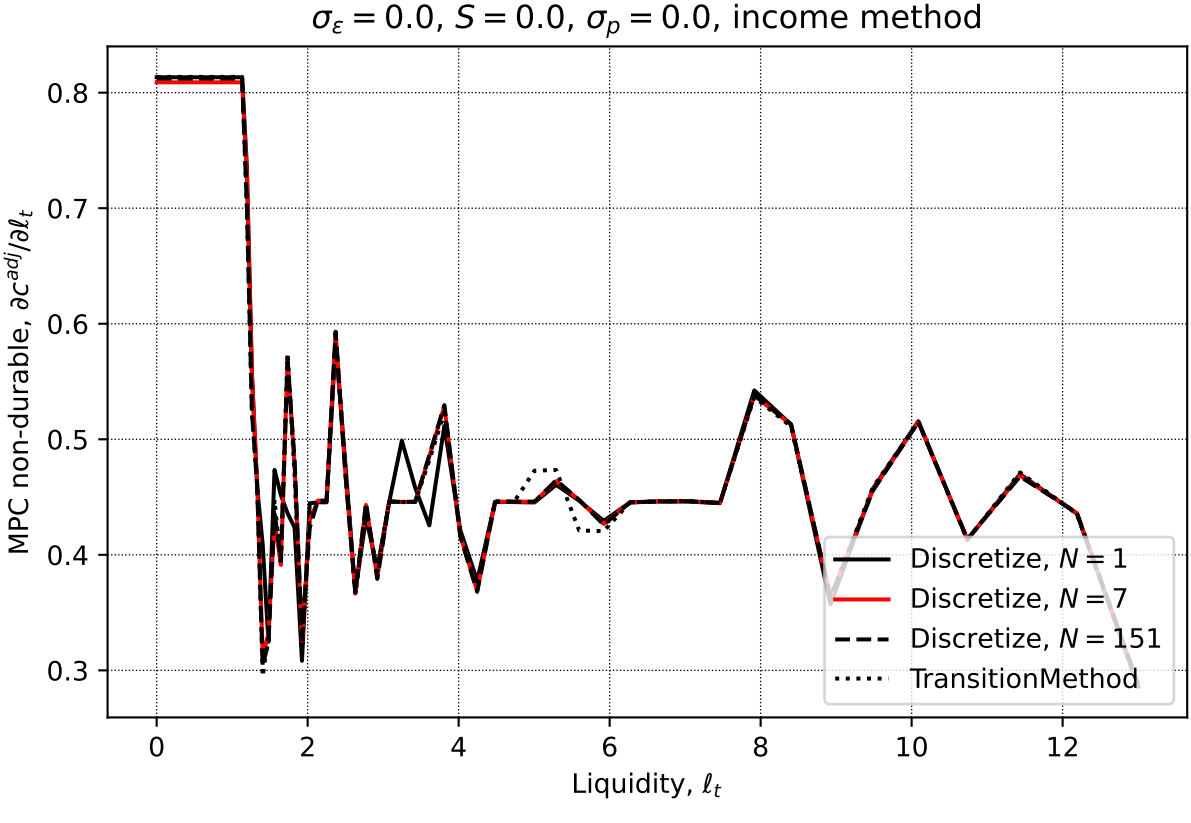
$\sigma_\varepsilon = 0.0$, $S = 0.0$, $\sigma_p = 0.0$, income method
MPC non-durable, $\partial c^{adj}/\partial \ell_t$
Liquidity, ℓ_t
0.8
0.7
0.6
0.5
0.4
0.3
0
2
4
6
8
10
12
Discretize, $N = 1$
Discretize, $N = 7$
Discretize, $N = 151$
TransitionMethod